

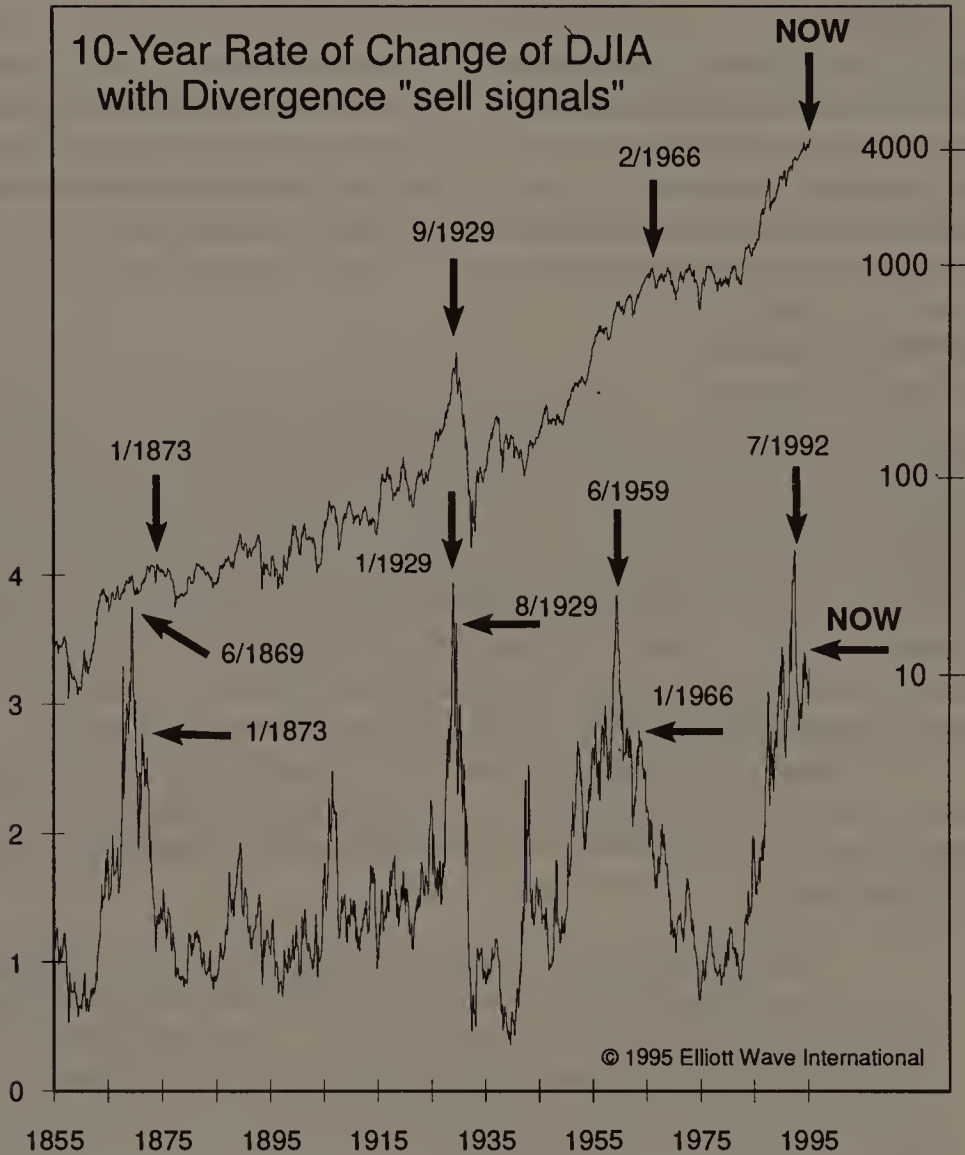


Figure 9-4

overbought conditions in this period, the fourth being that of the early 1990s. Notice first that the extreme reading of July 1992 was the highest of all, and therefore the highest in U.S. history, edging out that of 1929. Raging inflation goosed this indicator in the latest cycle, as nothing of the kind shows up on the inflation-adjusted chart. Yet even with that inflation, the 20-year, 3-year (see Figure 9-5) and 1-year (see Figure 9-3) rates of change have not followed suit, so we do not have to fear that the market is at a high acceleration midpoint. On the contrary, the three-year divergence that is now in place on the 10-year rate of change (along with the others) is